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Economics uses two methods: deduction and induction.

a. Deductive Method of Economic Analysis

It is also named as *analytical or abstract* method. It consists in deriving conclusions from general truths; it takes few general principles and applies them to draw conclusions. The classical and neo-classical school of economists notably, Ricardo, Senior, J S Mill, Malthus, Marshall, Pigou, applied the deductive method in their economic investigations.

Steps of Deductive Method

- **Step 1:** The analyst must have a clear and precise idea of the problem to be inquired into.
- **Step 2:** The analyst clearly defines the technical terms used in the analysis. Further, assumptions of the theory are to be precise.
- **Step 3:** Deduce hypothesis from the assumptions taken.
- **Step 4:** Hypotheses should be verified through direct observation of events in the real world and through statistical methods. (eg) There exists an inverse relationship between price and quantity demanded of a good.

b. Inductive Method of Economic Analysis

Inductive method, also called *empirical method,* is adopted by the "Historical School of Economists". It involves the process of reasoning from particular facts to general principle.

Economic generalizations are derived in this method, on the basis of

(i) Experimentations;

(ii) Observations; and,

(iii) Statistical methods.

- **Step 1:** Data are collected about a certain economic phenomenon. These are systematically arranged and the general conclusions are drawn from them.
- **Step 2:** By observing the data, conclusions are easily drawn.
- **Step 3:** Generalization of the data and then Hypothesis Formulation
- **Step 4:** Verification of the hypothesis (eg.Engel's law)

According to Engel's Law "The proportion of total expenditure incurred on food items declines as total expenditure [which is proxy for income] goes on increasing."

Economists today are of the view that both these methods are complementary. Alfred Marshall has rightly remarked: *"Inductive and Deductive methods are both needed for scientific thought, as the right and left foot are both needed for walking".*